

Hyperscaler Bond Spreads Blow Out After Google Shocks With Another \$25 Billion Bond Offering

After tightening sharply following last week's (pre-Situational Awareness) rout which sent **hyperscaler CDS to the widest on record**, AI bond spreads are blowing out again this morning - with SpaceX bonds - *which have quickly emerged as the fulcrum bond security of the AI world* - plunging this morning on news that for the third time in a year, **Alphabet which has emerged as the credit (both *on and off balance sheet*) nexus of the AI supercycle, is looking to raise another \$25 billion from its latest US investment-grade bond offering**, a deal that will again test investor appetite for AI-related debt following a July selloff when bond AI-linked bond spreads exploded to all time wides.



The offering, which will very likely be upsized (just as the ill-fated SpaceX bond offering) will be Alphabet's third since November.

In February, the Google parent [issued more than \\$30 billion in new debt](#), including multiple non-US tranches. The offering followed a similar bond issuance from November 2025, when [Alphabet sold \\$25 billion in debt](#), quadrupling its long-term debt to \$46 billion. Since then Google's debt has surpassed over \$100 billion and is rising at an astronomic pace; one can only hope the rating agencies don't notice.

According to Bloomberg, Alphabet is offering notes in as many as 10 parts, with maturities ranging from two to 40 years. Initial price talk for the longest-tenored tranche is a premium of about 1.55 percentage points above Treasuries. No final decision has been made on the size, according to people familiar with the matter, however it is likely that - as always - there will

be excess demand leading to significant oversubscription, with the bond then sliding after it starts trading.

Virtually **every bank is an underwriter** on the offering which will need all the help it can get: Bank of America, Citigroup, Goldman, JPMorgan, Morgan Stanley and Wells Fargo are managing the sale, Bloomberg said.

Alphabet's offering comes one month after Amazon issued an identical amount of debt, and just two weeks after the company again raised its 2026 spending outlook, which triggered fresh worries about whether massive artificial-intelligence investments will pay off. Investor appetite for bonds to help fund capex cooled in July as **Alphabet increased its forecast to as much as \$205 billion, more than double 2025's outlays.**

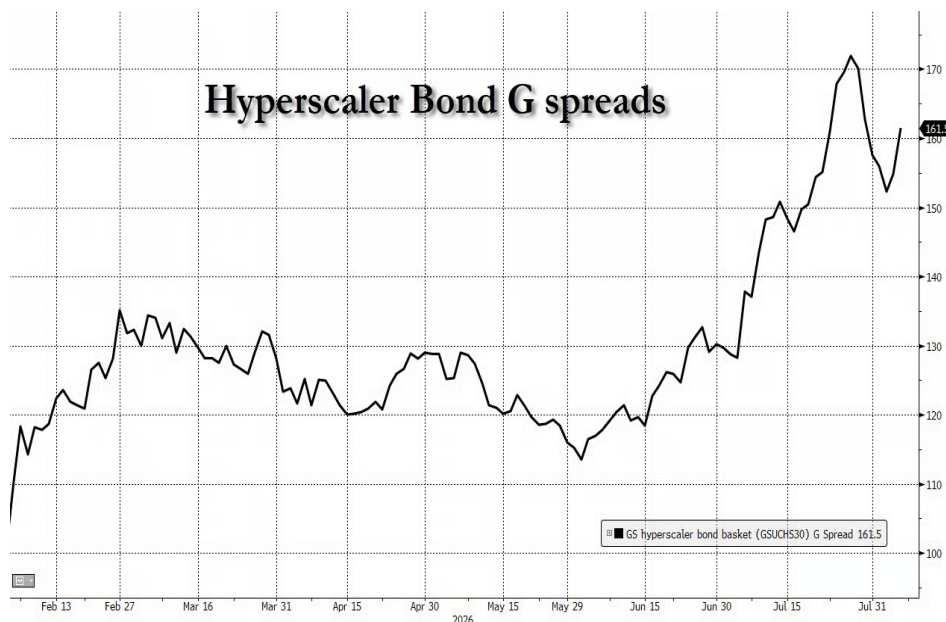
Meanwhile, as the market finally started paying attention to good, old on-balance sheet debt, the flood of off-balance sheet continued with BlackRock last week selling \$12.5 billion of bonds tied to a Meta data center SPV in Texas. Initial demand was very poor, following soft interest for an offering by Amazon.com.

Immediately afterward, bond spreads across the Hyperscaler sector blew out to record wides in the secondary market, as we reported on multiple occasions.

However, following the historic short squeeze in the past week (sparked by.... nobody really knows) sentiment improved again as August began, helped by gains in US Treasuries.

"We've had a few days now of positive reactions from investors across corporates and especially technology," said Brett Kozlowski, portfolio manager at GW&K Investment Management. **"But another large debt deal will still test the depth of that and be worth watching."**

Sure enough, after sliding by almost 20bps in the past week, hyperscaler spreads have already cut their gains in half after blowing out by almost 10bps since Tuesday, a move that is set to accelerate as even more debt comes to market.

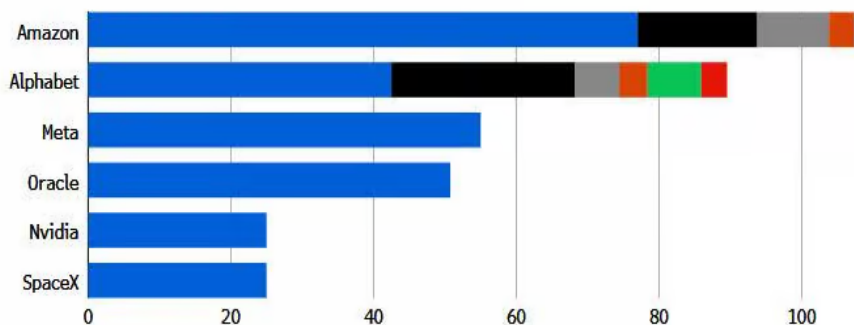


Alphabet, which sold more than \$50 billion of debt in the first half of 2026, and Amazon have led the AI-infrastructure borrowing spree. Alphabet last tapped the US high-grade debt market in February, before selling bonds in Swiss francs, British pounds, euros, Canadian dollars and Japanese yen. It also issued nearly \$85 billion of shares two months ago.

Big Tech Raises More than \$350 Billion in Debt Since 2025

Amazon and Alphabet lead the multiple-currency borrowing spree

■ US Dollars ■ Euros ■ Canadian Dollars ■ Swiss Franc ■ British Pounds ■ Japanese Yen



Source: Bloomberg

Bloomberg

The explosive growth in CapEx is why **Alphabet posted its first quarter of negative cash flow since its 2004 initial public offering.**

The hope is that at some point, all this massive investment will lead to a surge in EBITDA. The only problem is what happens if nearly-free Chinese open-weight models end up dominating the market while US hyperscalers duke it out in the biggest spending spree since the Nuclear arms race. And, as we [reported overnight](#), that's precisely what is happening.